Policy Economy GDP

Economy barely growing as investment falters



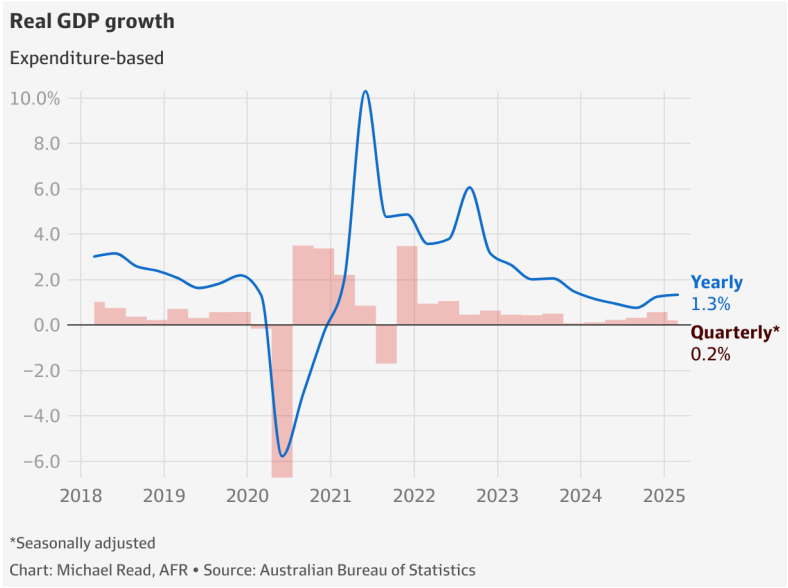
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The Australian economy barely grew at the start of the year as businesses cut back on equipment investment, consumers kept their spending in check and Labor's crackdown on foreign students hit export earnings.

The economy expanded just 0.2 per cent in the March quarter, the Australian Bureau of Statistics said on Wednesday, as an increase in home building was partly offset by falls in equipment investment, foreign student spending and delays in state government infrastructure projects.

The result, which was weaker than economists had expected, caused the annual rate of economic growth to hold steady at 1.3 per cent, well beneath the long-run average of 2.7 per cent.



The GDP figures underscored persistent weakness in private sector investment [https://www.afr.com/link/follow-20180101-p5m4gm] and will add to growing expectations that the RBA will cut the cash rate to 3.6 per cent from 3.85 per cent at its July 7-8 meeting,

with financial markets already pricing in an 84 per cent chance of a move.

GDP per capita – a common proxy for living standards – fell 0.2 per cent, representing the ninth decline over the past 11 quarters.

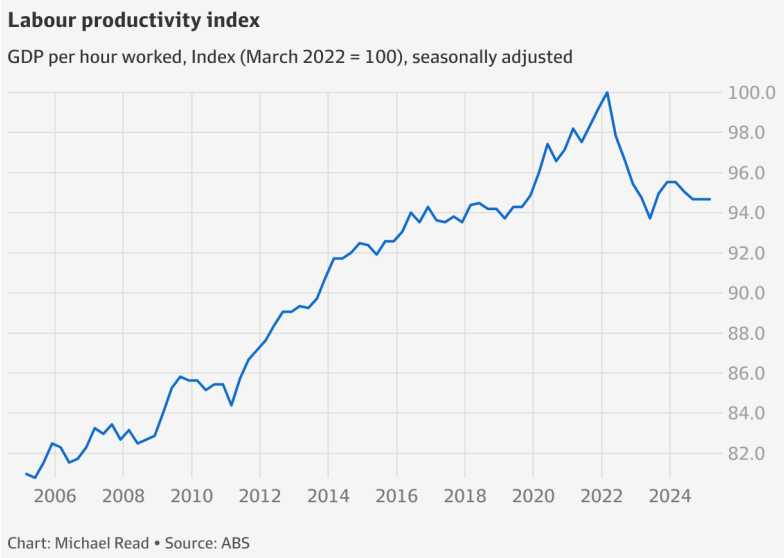
The ABS attributed some of the weakness to extreme weather such as Cyclone Alfred, which led to lower activity across mining, tourism and shipping.

The data also cast doubt on Treasurer Jim Chalmers' promise to transition the economy from public sector-led growth to private sector-led activity. From mid-2022 to 2024, extra state and federal government spending drove almost 70 per cent of real GDP growth.

Spending on machinery and equipment, which includes outlays on things like vehicles, office equipment and electrical

items, fell 1.7 per cent in the March quarter, adjusted for inflation. Over the past year, machinery and equipment spending has fallen 3.7 per cent.

Chalmers' other priority, reviving productivity growth, is also under pressure: labour productivity was unchanged in March, stuck at 2016 levels.



IFM chief economist Alex Joiner said the national accounts were disappointing, noting the 0.2 per cent growth was weaker than the

RBA's official forecast for 0.45 per cent.

"The modest acceleration in the year-ended growth rate from the nadir reached in September 2024 has largely stalled," Joiner said.

"This outcome adds to the case that it is appropriate for the RBA to ease policy settings further."

Westpac senior economist Pat Bustamante said the underlying momentum in the economy was undoubtedly weak, even with temporary factors like natural disasters weighing on spending.

"We have spoken about the possibility of a period of subpar economic growth if the handover from the public to the private sector is shaky," Bustamante said.

"This risk has been exacerbated by global

uncertainties relating to US trade policy, which has weighed on confidence and the willingness to invest and spend. Without a material pick-up in private demand the economy could be set for a period of subdued growth."

Net trade subtracted 0.1 percentage points from GDP growth in March, in part due to the government's effort to cut foreign student numbers, which caused a 2.8 per cent fall in travel services exports.

Labor has imposed quasi-limits on foreign student numbers [https://www.afr.com/politics/federal/are-overseas-student-caps-back-on-the-government-s-agenda-20250520-p5m0t8] after its attempt to cap new enrolments at 270,000 this year was torpedoed by the Greens and the Coalition in the Senate.

For the first time since December 2023,

government spending subtracted rather than added to GDP growth in March, primarily due to a pull-back by the states.

The ABS attributed the decline to a fall in state government spending on energy bill relief and delays to large infrastructure projects.

Economists expect the fall to be reversed in coming quarters. Treasury projects federal government spending will reach 27 per cent of GDP next financial year – a record outside the pandemic – amid rapid growth in spending on social services, including the National Disability Insurance Scheme.

Real household spending increased by just 0.4 per cent in the March quarter, the ABS said, with the increase largely due to spending on essentials like food and rent.

“Growth was relatively slow across most

household spending categories following stronger than usual spending during the December quarter's retail sales events," the ABS said.

Home building rose 2.6 per cent in the March quarter, in a sign the sector could be recovering after several years of subdued activity.

More to come.

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